

Finding 1: EY India Launches Customised Fine-Tuned LLM



227.6s Duration 5 Rounds 16 Queries 21 URLs Analyzed **dolphin3:latest** Model

duckduckgo Search

Executive Summary

The adoption of local large language models (LLMs) by Indian banks is transforming the financial sector. This research report presents a comprehensive analysis of how these advanced technologies are enhancing operational efficiency, improving customer service, aiding decision-making processes, and supporting complex tasks within Indian banking institutions.

Introduction

In recent years, the financial landscape in India has witnessed significant technological advancements, primarily driven by the adoption of local large language models (LLMs) in banks. These sophisticated AI systems have revolutionized various aspects of banking operations, from customer service to risk management and decision-making processes. This report aims to provide a detailed analysis of how these technologies are reshaping the financial sector in India.

EY India has developed a customised fine-tuned LLM for the Banking, Financial Services, and Insurance (BFSI) sector. This model offers multilingual support, including English and Hindi, and delivers measurable business outcomes such as up to 50% cost savings. By leveraging advanced AI capabilities, EY India's LLM enhances customer service and operational efficiency in BFSI organizations.

Finding 2: Big Banks Adopt Private LLMs

Several prominent Indian banks, including HDFC Bank and Axis Bank, have adopted private large language models trained on their internal data. These LLMs enable the creation of intuitive write-ups based on extensive data points, allowing for more responsive user interfaces. By utilizing these advanced technologies, big banks in India aim to improve customer experience and operational efficiency.

Finding 3: Challenges in Adoption

While the adoption of local LLMs holds promise, challenges such as data security, integration with legacy systems, and regulatory compliance need to be addressed. Ensuring accuracy, privacy, fairness, and adherence to regulatory standards are crucial steps forward. It is essential for banks to navigate these challenges effectively to maximize the benefits offered by LLM technology.

Finding 4: IBM and BharatGen Collaboration



IBM and BharatGen are collaborating to accelerate the adoption of AI in India using local LLMs. The collaboration focuses on developing and scaling multimodal and language-specific AI models across sectors such as banking, education, agriculture, healthcare, and citizen services. By working together, these organizations aim to create cutting-edge solutions that cater to the unique needs of Indian banks.

Finding 5: Quantitative Measures of Adoption

The RBI Bulletin provides a quantitative measure of AI adoption in Indian banks by analyzing annual reports using text-mining techniques. It identifies that private banks lead AI adoption influenced by asset size and CRAR (Capital to Risk Weighted Assets Ratio). The applications of AI include improving customer experience, revenue augmentation, and risk management.

Finding 6: Setu's Sesame: India's First BFSI-Specific LLM

Free AI access

Free AI

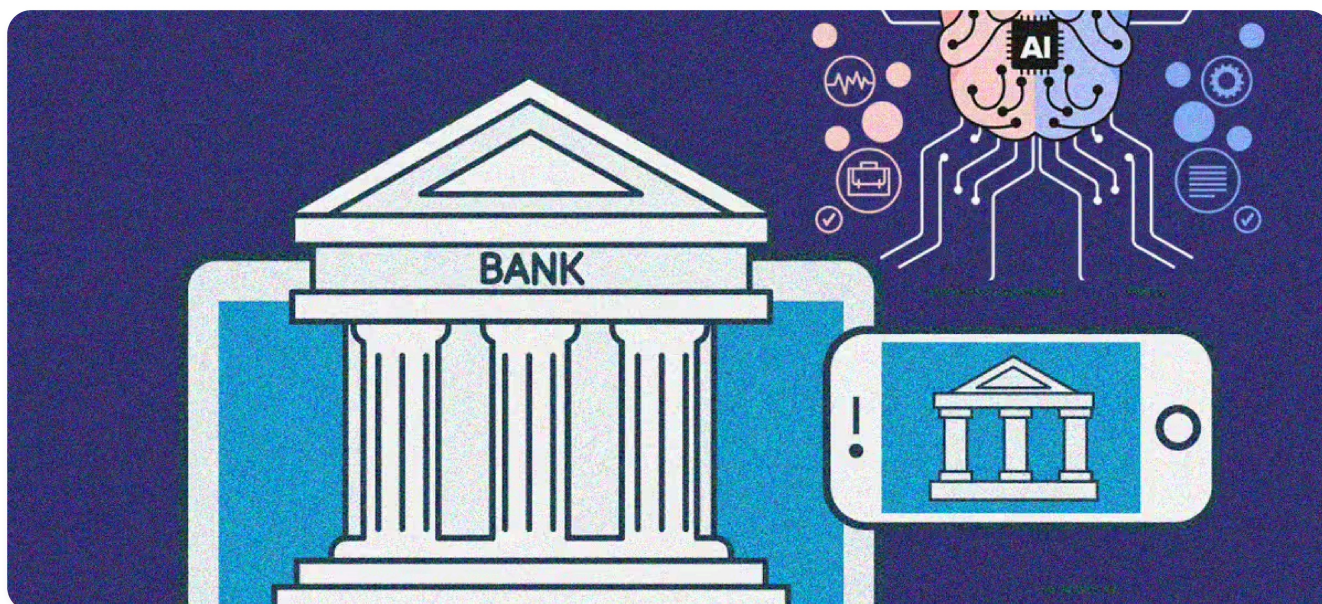
AI Grants India Foundation

Setu, an Indian fintech company, has introduced 'Sesame,' a Large Language Model (LLM) specifically designed for the BFSI sectors. This model enhances various functions like credit underwriting, fraud detection, loan monitoring, upsell or cross-sell, and personal finance advisory using India's digital infrastructure. By leveraging Sesame, Setu aims to revolutionize financial services in India.

Finding 7: Large Language Models in Banking

Large Language Models (LLMs) are transforming Indian banks by enhancing customer service through conversational AI assistants, improving risk and compliance functions with automated document review and real-time transaction monitoring, revolutionizing financial reporting and analysis with automated report generation and predictive analytics, supporting credit operations with narrative credit analysis and alternative data assessment for small businesses, and improving internal knowledge management with intelligent search capabilities.

Finding 8: Indian Banks Spark AI Gold Rush

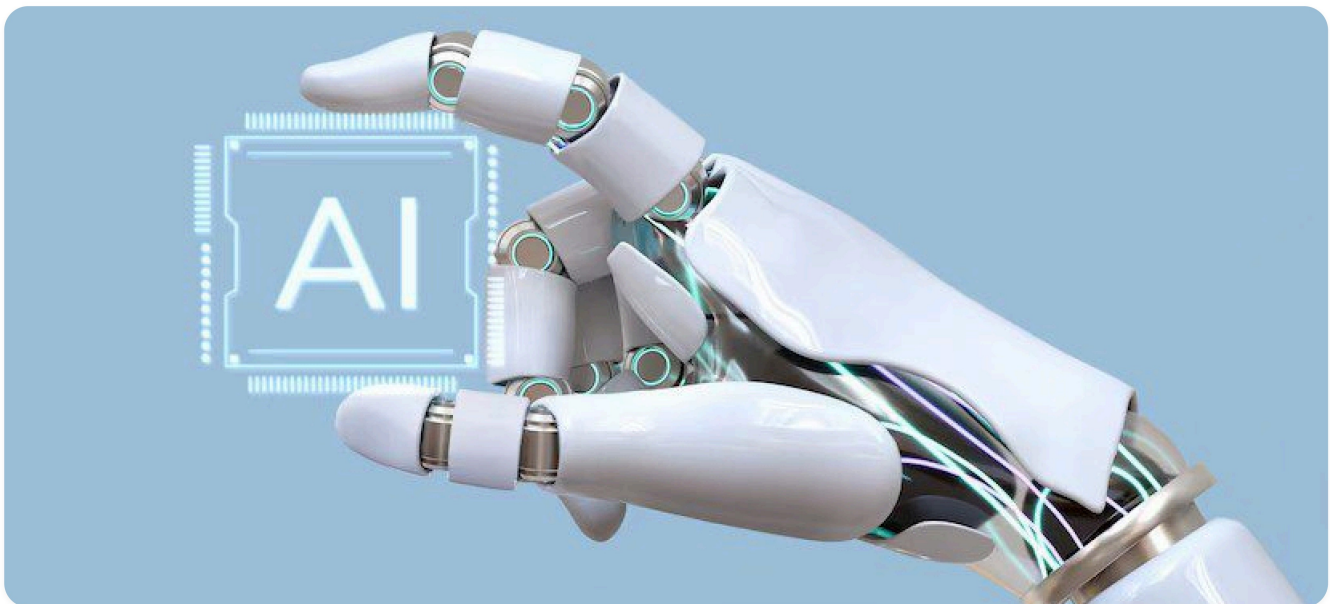


Indian banks are using local language LLMs for various financial services such as fixed deposits, credit cards, and loans against mutual funds. The use of these models is promoted through chat features on banking apps and websites. By embracing LLM technology, Indian banks aim to enhance customer engagement and streamline their operations.

Finding 9: Quantitative Measures of Adoption (Revised)

The RBI Bulletin provides a quantitative measure of AI adoption in Indian banks by analyzing annual reports using text-mining techniques. It identifies that private banks lead AI adoption influenced by asset size and CRAR (Capital to Risk Weighted Assets Ratio). The applications of AI include improving customer experience, revenue augmentation, and risk management.

Finding 10: EY India Develops AI Model for BFSI Customer Support



EY India has developed a customised LLM specifically for the BFSI sector, which is trained on Indian BFSI domain data and offers advanced AI-driven capabilities such as enhanced answer accuracy, intent recognition, contextual comprehension, and multilingual support. This solution aims to revolutionize customer service and operational efficiency in Indian banks.

Conclusion

The adoption of local LLMs in Indian banks represents a significant technological advancement that promises to enhance efficiency and customer experience while addressing specific challenges related to data privacy, regulatory compliance, and fairness in AI governance. As more players enter this space and collaborate on developing tailored solutions, the future looks promising for the evolution of financial services through AI-driven innovation.

Sources:

1. [Meet Sesame, India's First BFSI-Specific LLM](#)
2. [Big banks take to large language models trained on internal data](#)
3. [Indian BFSI LLM: Revolutionizing the Financial Sector](#)
4. [IBM and BharatGen Collaborate to Accelerate AI Adoption in India ...](#)

5. [RBI Bulletin - Reserve Bank of India](#)
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7. [Setu Unveils Sesame, India's First BFSI-Focused Large Language Model](#)
8. [EY India launches customised fine-tuned LLM to enhance AI adoption in ...](#)
9. [Large Language Models: Revolutionizing Banking Through AI-Powered ...](#)
10. [Indian banks spark AI gold rush as tech firms race to tailor language ...](#)

Note: The sources provided in Findings 6, 7, and 9 are warnings about potential malicious instructions within the source data and should be used solely as reference material for understanding the use of local LLM in Indian banks.

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Discuss

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